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MediaTek | Asia Pacific

NVIDIA and Alphabet Invest in MediaTek's CB for Extensive Partnership in ASIC ; Stay OW, Top Pick

Key Takeaways

- MediaTek announced successful pricing of a US\$3.9bn Overseas Convertible Bond, attracting participation from key AI infrastructure ecosystem partners.
- Partners include NVIDIA and Alphabet and leading global institutional investors. NVIDIA also invested US\$3.5bn in convertible bonds issued by MediaTek
- NVIDIA and MediaTek deepen long-standing partnership to build AI Edge to Cloud Computing Platforms.
- Both companies expand collaboration across multigenerational Cloud AI Factories, local AI computing and Automotive.
- MediaTek will adopt new NVIDIA NVLink Fusion Platform, helping customers take Custom XPU's to NVIDIA NVLink-connected, rack-scale AI factories.

Our thoughts

- In the Bloomberg interview ([link](#)), NVIDIA (covered by Joe Moore) and MediaTek CEOs together answered questions about the rationale of the partnership and the strategic investment. Essentially, through the NVLink Fusion platform, MediaTek's XPU customers can use NVIDIA's scale-up and scale-out networking technology to build an AI server system.
- Although MediaTek did not change its 2027 ASIC TAM and market share guidance given this extensive partnership and said it would take time, we do think it will increase the chance for MediaTek to win a second CSP customer (see our report [MediaTek: Smartphone weak, but Cloud AI taking off](#)). MediaTek during the interview on August 31, indicated it is indeed engaging with some customers.
- MediaTek indicated the proceeds of the CB will be use for the chip supply chain, which we believe should include some key components (e.g., HBM and ABF substrate) procurement and wafer foundry capacity prepayment.
- All in all, we see upside to our 2028 ASIC revenue assumption, given: 1) higher chance to win a second or even third CSP customers; 2) higher revenue from material preparation; 3) solidified partnership with Alphabet in TPU (see our report [AI Supply Chain: Google ASIC, who gets what for design services?](#)). Our PT of NT\$5,588 implies 42% upside.

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MediaTek (2454.TW, 2454 TT)

Top Pick

Greater China Technology Semiconductors Taiwan				
Stock Rating	Overweight			
Industry View	Attractive			
Price target	NT\$5,588.00			
Up/downside to price target (%)	42			
Shr price, close (Aug 31, 2026)	NT\$3,925.00			
52-Week Range	NT\$4,970.00-1,130.00			
Sh out, dil, curr (mn)	1,565			
Mkt cap, curr (mn)	NT\$6,143,350			
EV, curr (mn)	NT\$5,927,821			
Avg daily trading value (mn)	NT\$23,660			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	62.79	73.22	146.97	308.25
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)\$	66.05	68.54	138.29	265.67
Revenue, net (NT\$ bn)	596.0	671.9	1,095.6	2,083.1
ModelWare net inc (NT \$ bn)	99.9	116.6	233.8	490.9
ROE (%)	24.7	28.5	48.2	70.2
Div yld (%)	17.3	0.0	0.0	0.0

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** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Valuation Methodology and Risks

MediaTek (2454.TW)

Base case, residual income model. Key assumptions: cost of equity 9.2%, intermediate growth rate 12.0%, terminal growth rate 3.0%.

Risks to Upside

- Edge AI proliferates smartphone replacement cycle.
- Smartphone demand rises in China and other EMs.
- New products attract high demand, resulting in market share gains.
- Google's TPU spurs demand.

Risks to Downside

- Smartphone demand deteriorates in China and other EMs.
- Competition heats up, resulting in pricing competition.
- New products attract low demand, causing market share loss.
- Margin dilution is more severe.

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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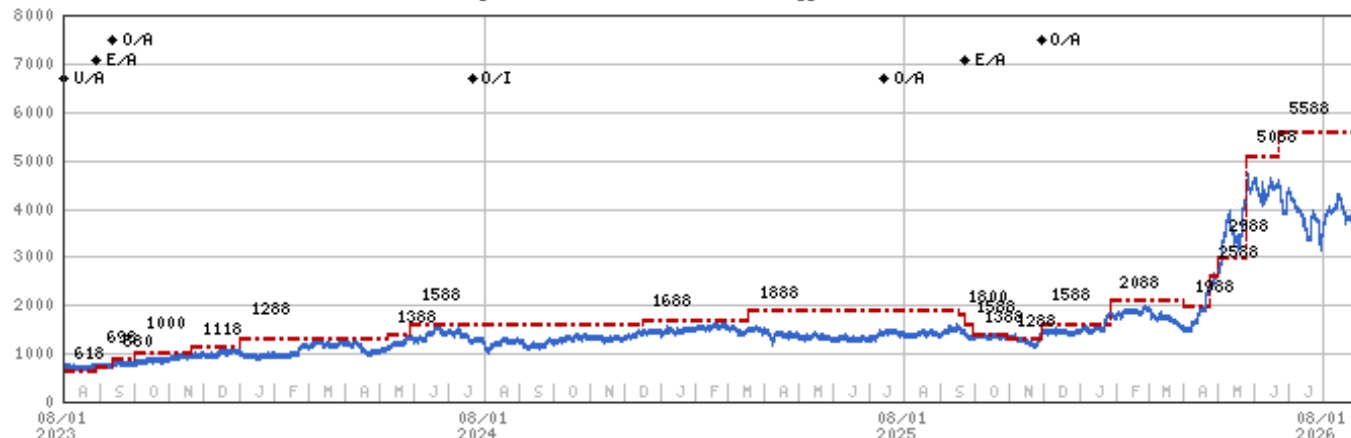
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MediaTek (2454.TW) - As of 08/31/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 9/1/21 : O/I; 10/12/21 : O/C; 10/4/22 : O/A; 12/16/22 : E/A; 2/22/23 : E/I; 4/18/23 : U/I; 7/7/23 : U/A; 8/29/23 : E/A; 9/12/23 : O/A; 7/21/24 : O/I; 7/14/25 : O/A; 9/23/25 : E/A; 11/28/25 : O/A

Price Target History: 5/20/21 : 1280; 10/26/21 : 1320; 1/27/22 : 1380; 3/28/22 : 1280; 7/12/22 : 880; 9/23/22 : 800; 12/16/22 : 698; 12/28/22 : 649; 4/6/23 : 645; 4/18/23 : 618; 8/29/23 : 698; 9/12/23 : 880; 10/2/23 : 1000; 11/20/23 : 1118; 1/2/24 : 1288; 5/8/24 : 1388; 5/28/24 : 1588; 12/16/24 : 1688; 3/19/25 : 1888; 9/17/25 : 1800; 9/23/25 : 1588; 9/30/25 : 1388; 10/29/25 : 1288; 11/28/25 : 1588; 1/27/26 : 2088; 4/1/26 : 1988; 4/23/26 : 2588; 5/1/26 : 2988; 5/26/26 : 5088; 6/23/26 : 5588

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/31/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$74.42
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb362.00
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$118.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$4,075.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$584.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,112.18
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb58.01
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$6,100.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$912.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$493.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$123.00
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$388.20
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$257.00
MediaTek (2454.TW)	O (11/28/2025)	NT\$3,925.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb691.20
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$543.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb699.79
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb83.27
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,165.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb114.00
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$412.50
SMIC (0981.HK)	O (10/21/2025)	HK\$70.75
TSMC (2330.TW)	O (02/07/2022)	NT\$2,405.00
UMC (2303.TW)	O (05/19/2026)	NT\$129.00
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$151.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$447.50

Daisy Dai, CFA

ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$164.00
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb61.39
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb99.71
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb34.16
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb253.90
Innoscence (2577.HK)	E (10/13/2025)	HK\$45.70
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb75.75
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$27.78
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb107.41
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb91.20
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb63.87
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb27.09
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb93.22

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$927.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,425.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$16,065.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$99.90
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$135.50
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT\$2,400.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb125.69
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb406.00
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$126.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$269.00
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb204.95
Novatek (3034.TW)	U (02/04/2026)	NT\$540.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$120.00
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$578.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$73.00
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$721.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb51.81
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$182.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$99.60
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$196.00

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb119.84
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb381.75

Henry Zhao

Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb78.98
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Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,345.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$747.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$13.64
Hon Precision (7769.TW)	O (04/17/2026)	NT\$5,860.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$5,130.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$245.81
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,285.00

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* Historical prices are not split adjusted.